

# MANAGEMENT PROJECT COST

*Assoc. Professor Darwin Kim Bulawan*



# Course Map

| Week Number | Inclusive Dates | Module Number | Assessments          | Topics                                                                                                                                         |
|-------------|-----------------|---------------|----------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| 1           | Sep 6           | 1             | Quiz                 | Course Introduction, Discussion of Deliverables, Introduction to IT Project Management, and Class Consultations and Submission of Deliverables |
| 2-3         | Sep 13 - 20     | 2             | Quiz                 | Managing Project Scope, and Class Consultations and Submission of Deliverables                                                                 |
| 4-5         | Sep 27, Oct 4   | 3             | Quiz                 | Managing Project Time and Class Consultations and Submission of Deliverables                                                                   |
| 6-7         | Oct 11 -18      | 4             | Quiz                 | Managing Project Cost and Class Consultations and Submission of Deliverables                                                                   |
| 8           | Oct 25          | -             | Exam                 | <b>Midterm Examination</b>                                                                                                                     |
| 9           | Nov 1           | -             |                      |                                                                                                                                                |
| 10-11       | Nov 8 - 15      | 5             | Quiz                 | Managing Project Leadership and Communication Management, and Class Consultations and Submission of Deliverables                               |
| 12-13       | Nov 22 - 29     | 6             | Quiz                 | Managing Project Risk, and Class Consultations and Submission of Deliverables                                                                  |
| 14-15       | Dec 6 - 13      | 7             | Quiz                 | Managing Project Procurement and Class Consultations and Submission of Deliverables                                                            |
| 16-18       | Dec 20 - Jan 3  | -             | -                    | Christmas Break                                                                                                                                |
| 19          | Jan 10          | -             | Report, Presentation | Class Presentations, and Class Consultations and Submission of Deliverables                                                                    |
| 20          | Jan 17          | -             | Exam                 | <b>Final Examination</b>                                                                                                                       |

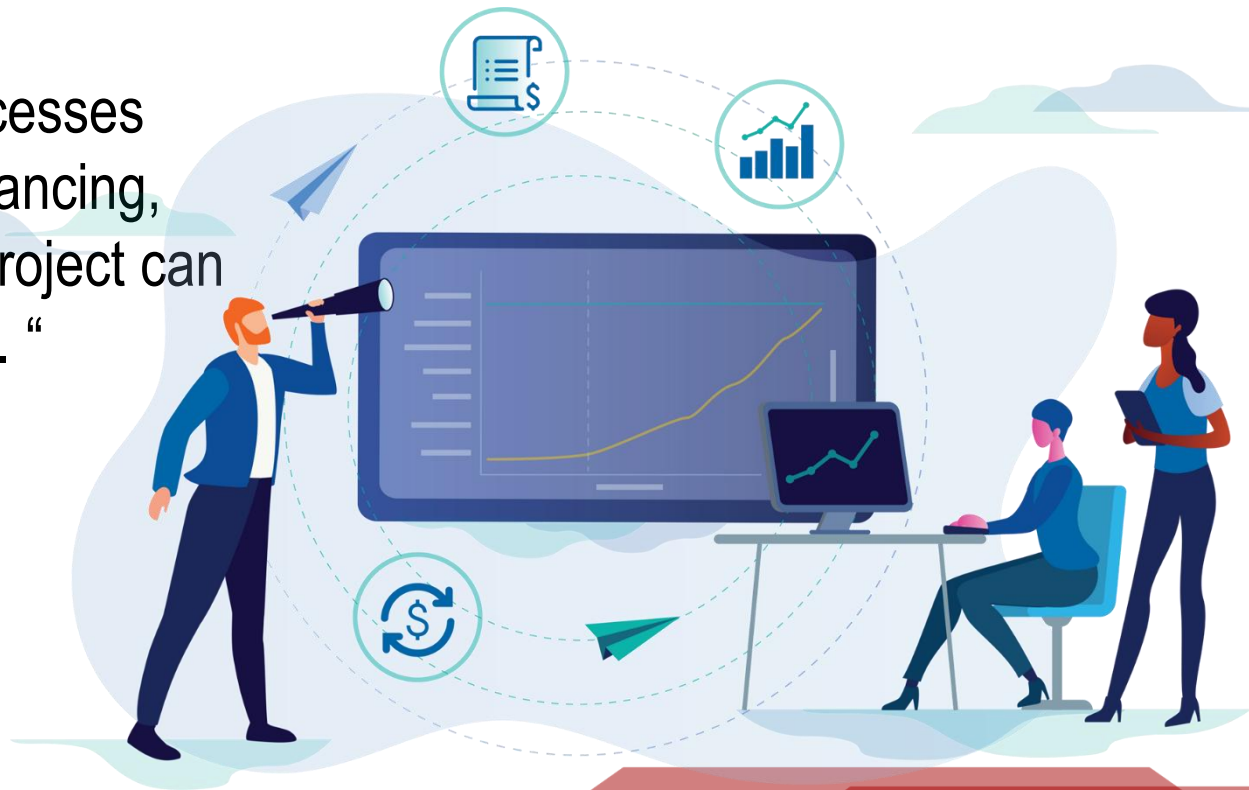


# Learning Objectives

- Discuss the importance of project cost management
- Explain basic project cost management principles, concepts, and terms
- Describe the processes of planning cost management
- Discuss the processes of determining a budget



**“Project Cost Management** includes the processes involved in planning, estimating, budgeting, financing, funding, managing, and controlling costs so the project can be completed within the approved budget. “



# PROJECT COST MANAGEMENT



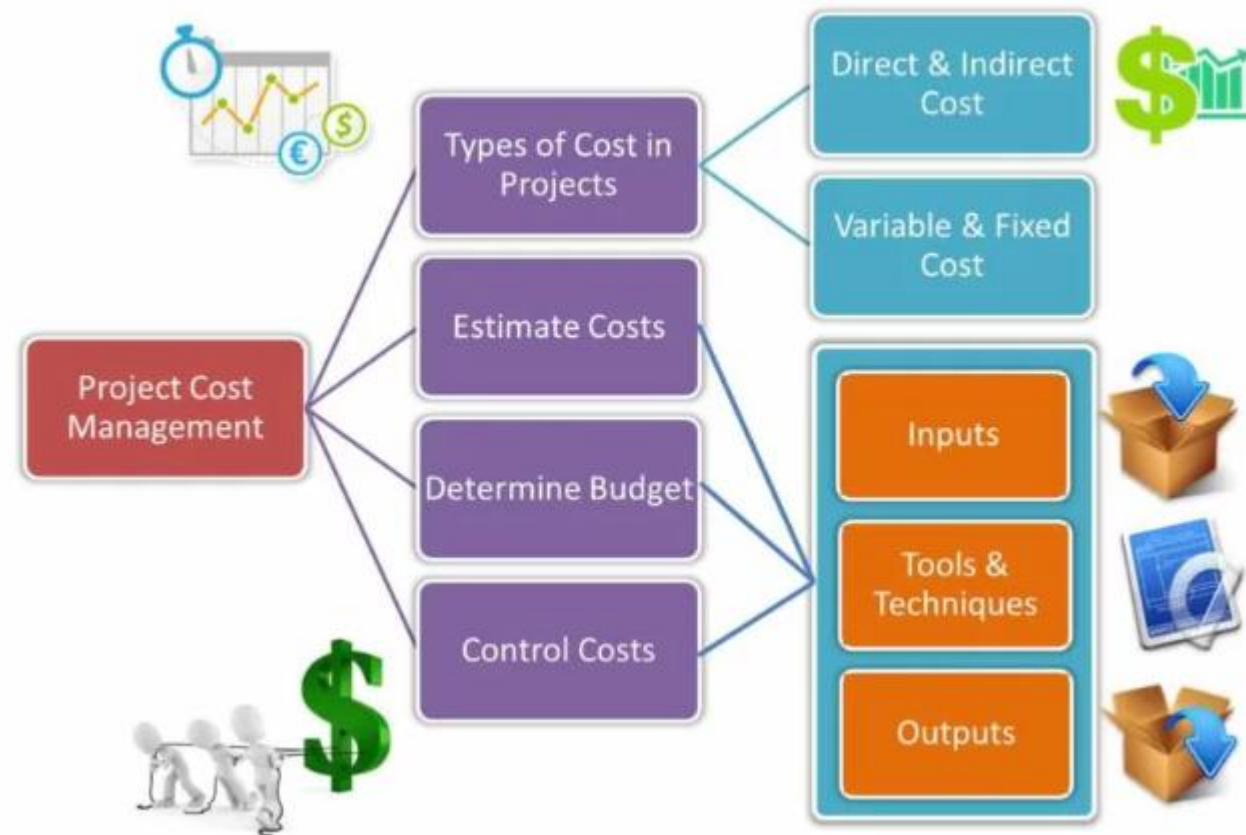
**In agile environment lightweight estimation** methods can be used to generate a fast, high-level forecast of project labor costs, which can then be easily adjusted as changes.



**KEY BENEFIT:** process is that it provides guidance and direction on how the project costs will be managed throughout the project. This process is performed once or at predefined points in the project.



# PROJECT COST MANAGEMENT

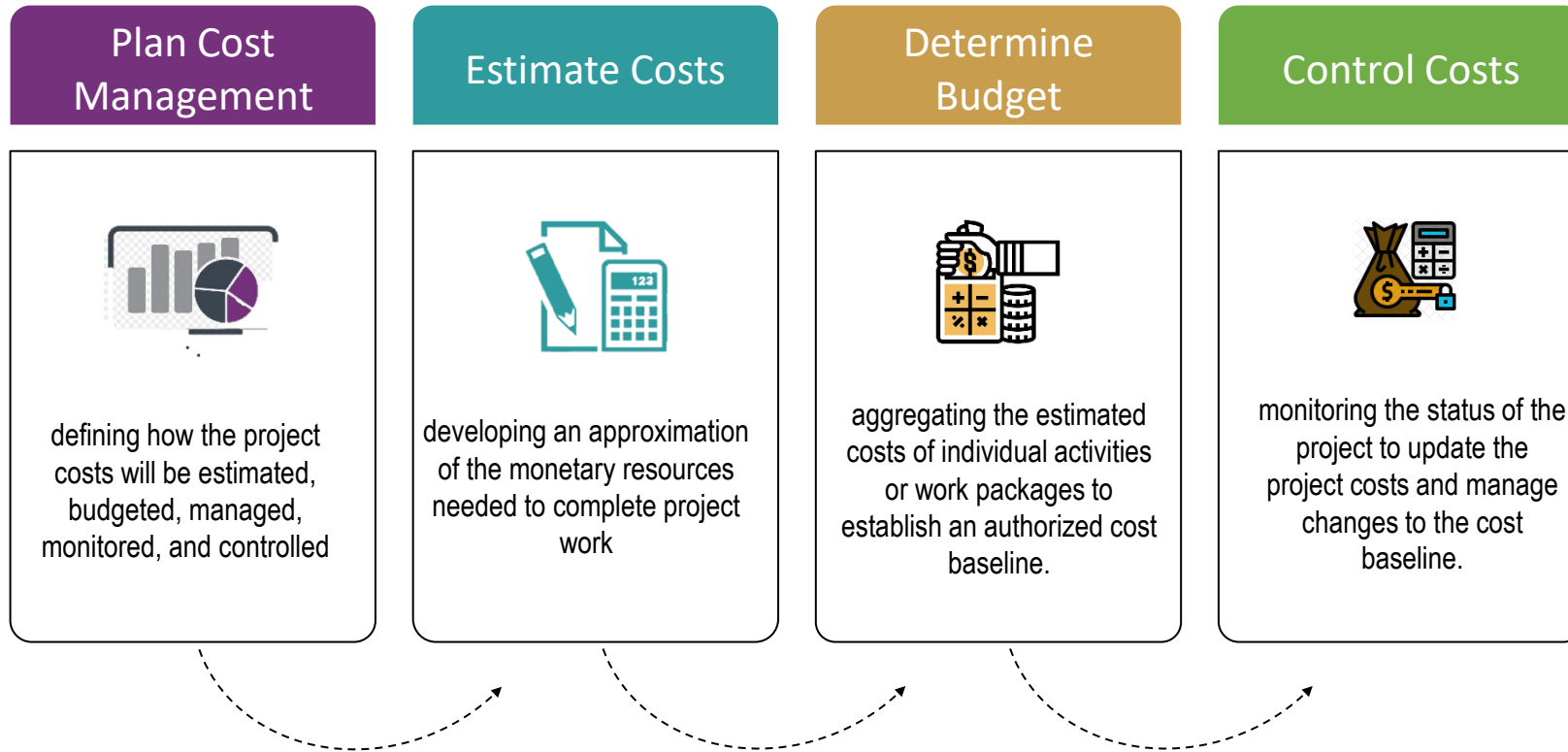


# PROJECT MANAGER

- ❑ Project managers make sure that their projects are well
  - ✓ defined,
  - ✓ have accurate time and cost estimates,
  - ✓ have a realistic budget that they were involved in approving.



# PROJECT COST MANAGEMENT PROCESSES:





# PLAN COST MANAGEMENT

| Process Name                | Inputs                                                                                                                                                                                     | Tools & Techniques                                                                                               | Outputs                                                                 |
|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|
| <b>Plan Cost Management</b> | <ol style="list-style-type: none"><li>1. Project Charter</li><li>2. Project Management Plan</li><li>3. Enterprise Environmental Factors</li><li>4. Organizational Process Assets</li></ol> | <ol style="list-style-type: none"><li>1. Experts Judgment</li><li>2. Data analysis</li><li>3. Meetings</li></ol> | <ol style="list-style-type: none"><li>1. Cost management plan</li></ol> |



# ESTIMATE COSTS



The process of developing an approximation of the monetary resources needed to complete project work.



**Key benefit:** is that it determines the monetary resources required for the project.



# DETERMINE BUDGET



Process in this knowledge area which comes under planning process group for aggregating the cost estimates of individual activities of work package to establish **an authorized cost baseline.**



For small projects, the Estimate Costs and Determine Budget processes can be viewed as one single process, because a time phased cost baseline is often not necessary..

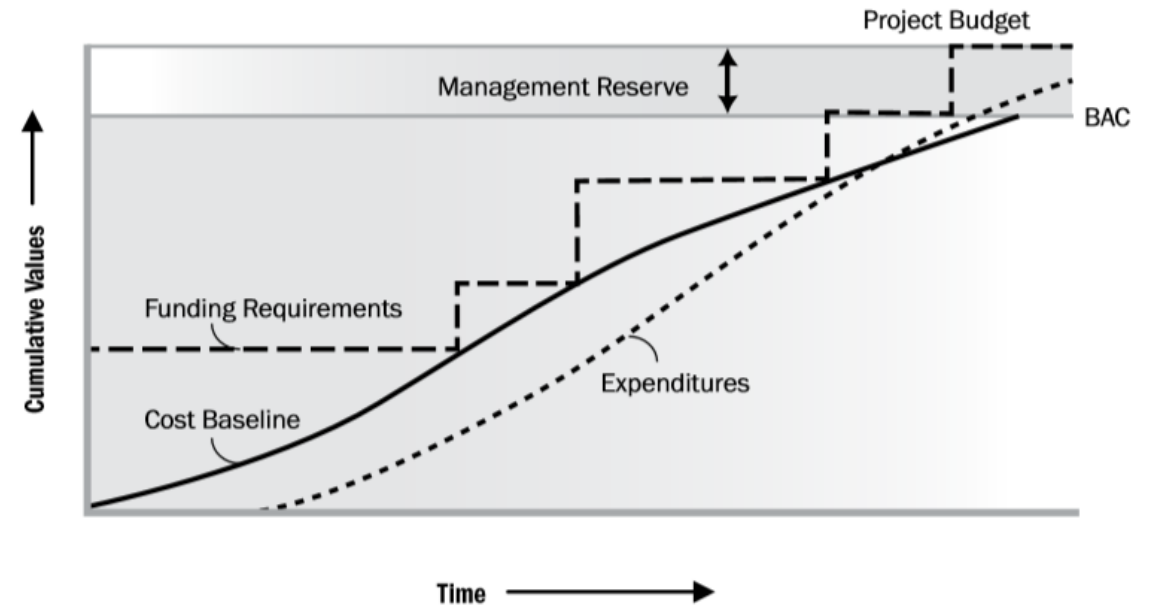
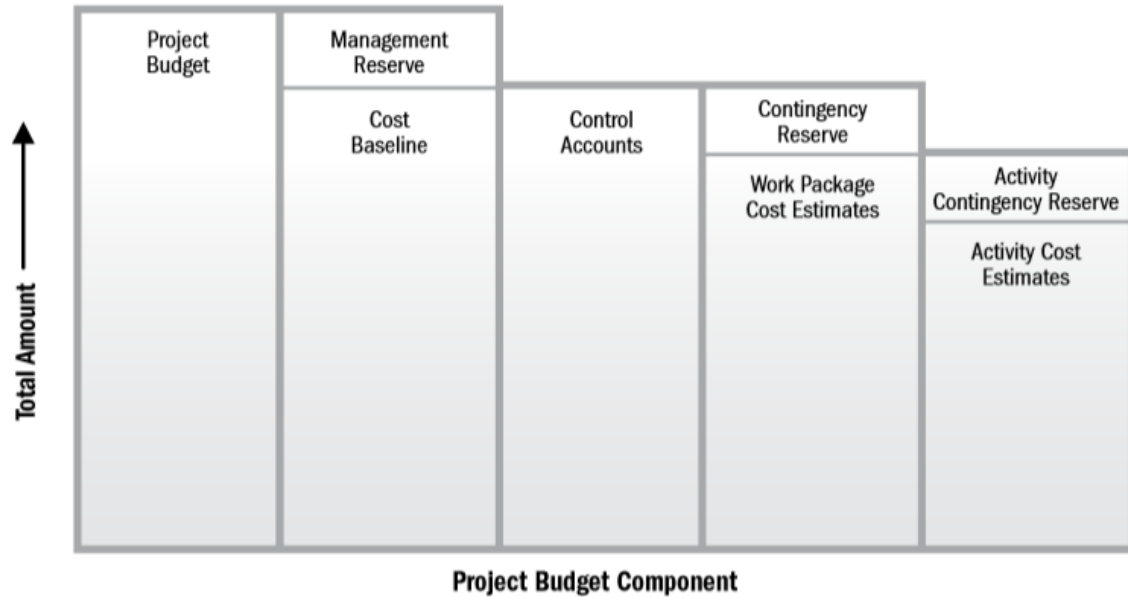


## **An important goal of cost baseline is to have:**

-  A time-phased budget that project managers use to measure and monitor cost performance
-  Estimating costs for each major project activity over a time period provides management with a foundation for project cost control
-  Providing information for project funding requirements –at what point(s) in time how much money will be needed



# COST BASELINE



# CONTROL COSTS



Process of this knowledge area which comes under monitoring and control process group for monitoring the status of the project costs and managing the changes to the cost baseline,



Concerned with the measurement of variances of the actual costs from the proposed baseline.

**Key benefit:** it allows the PM to detect cost variances early and take corrective actions to bring the project back on budget.



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# CONTROL COSTS

- Influencing the factors that create changes to the authorized baseline
- Monitoring cost performance to detect variances from the plan
- Ensuring that all appropriate changes are recorded
- Preventing incorrect, inappropriate, or unauthorized changes
- Informing the appropriate stakeholders of authorized changes
- Analyzing positive and negative variances and how it affects the other control processes





# DATA ANALYSIS

| Acronym | Term                     | Interpretations                                                                          |
|---------|--------------------------|------------------------------------------------------------------------------------------|
| PV      | Planned value            | As of today, what is the estimate value of the work planned to be done?                  |
| EV      | Earned value             | As of today, what is the estimated value of the work actually accomplished?              |
| AC      | Actual cost (total cost) | As of today, what is the actual cost incurred for the work accomplished?                 |
| BAC     | Budget at completion     | How much did we BUDGET for the TOTAL project effort?                                     |
| EAC     | Estimate at completion   | What do we currently expect the TOTAL project to cost (a forecast)?                      |
| ETC     | Estimate to complete     | From this point on, how much more do we expect it to cost to finish                      |
| VAC     | Variance at completion   | As of today, how much over or under budget do we expect to be at the end of the project? |



# Midterm Examination Guidelines

- Coverage: Modules 1–4
- Total Points: 50 points

## General Instructions

- Schedule: Thursday 1:30 onwards
- This examination is administered F2F.
- You have one attempt within 1.5 hours only.
- Answer each question carefully for True and False, MCQs, Identification and Enumeration items.
- Uphold academic honesty: no opening other tabs, no consulting notes/peers, no screenshots.
- Review answers before submitting your paper.
- Once submitted, your answers are final.



# Module 4 Activity

(Individual Activity) (30 points)

Further instructions will be announced via Google Forms.

Due Date: **Before 8 November**

